151 West 42nd Street
12th Floor
New York, NY 10036

T 212 459 1818

cumming-group.com

August 28, 2026

[Client Contact]
[Title]
[Client Name]
[Client Address]

Re: Synagogue & Community House Energy Conservation Measures – Fee Proposal for cost estimating services (Concept Level Estimate)

Dear [Client Contact],

Thank you for contacting Cumming regarding the above project. We are pleased to submit the following fee proposal for cost estimating services for the Energy Conservation Measures program at the Synagogue and Community House, comprising approximately 100,000 gross square feet across the two buildings.

It is our understanding that an energy study and facility condition assessment have identified a program of energy conservation measures across both buildings, including: conversion of the steam distribution to hot water, with two conversion options to be compared – central conversion at the Synagogue with a street crossing (Option 1), versus conversion at each building's cellar (Option 2); steam condensate recovery with associated tanks, pump sets, and coil resizing for 120°F supply water; replacement of perimeter fan coils and air handling units with two-way valve conversions; full BMS integration with demand control ventilation, outdoor air metering, off-hours retuning, and DOAS heat recovery; LED lighting and plug-load control upgrades to unrenovated floors; and envelope measures comprising Community House window replacement (with a triple-pane alternate) and wall insulation at renovated floors. You have asked us to prepare a **concept level estimate only**, to establish the program budget and support the selection between the conversion options.

APPROACH TO COST ESTIMATING

Our goal as cost estimator is to achieve three key objectives: 1) cost certainty; 2) cost predictability; and 3) to avoid any financial surprises. At concept level, our estimate establishes the total program budget as early as possible: we price what is described, we measure what is not yet drawn through clearly identified allowances, and we communicate every assumption back to the team for confirmation during the estimate review process. Our specialized MEP cost estimating team – which exclusively focuses on mechanical, electrical, and plumbing scope – will lead this assignment, as the steam conversion, condensate recovery, and controls measures represent the substantial majority of the program value. Each allowance, markup, escalation, and premium is shown as a separately identified line, so the estimate remains transparent and auditable as the design develops.

SCOPE OF SERVICES

Our fee covers the following scope of services:

1. **Concept Level Estimate – Energy Conservation Measures**

a) Kickoff meeting; review of the ECM scope narrative, the facility condition assessment recommendations, and any available drawings and equipment schedules.

b) One site walk of both the Synagogue and the Community House to confirm existing conditions, floor counts, equipment counts, and window quantities.

c) Concept (ROM) level construction cost estimate covering all listed energy conservation measures at both buildings, organized in Uniformat.

d) Comparative pricing of the steam-to-hot-water conversion: Option 2 (conversion at each building) carried in the base estimate, with Option 1 (central conversion at the Synagogue including the street crossing) presented as a cost delta.

e) Pricing of the triple-pane window upgrade as an add alternate to the double-pane IGU base.

f) Identified allowances for escalation, off-hours work premiums in occupied buildings, hazardous materials abatement, and street excavation permitting and restoration.

g) Issue of the draft concept estimate with a written basis-of-estimate narrative.

2. **Estimate Review & Final Issue**

a) One estimate review meeting with the Owner and design team to walk through findings, cost drivers, and the option comparison.

b) Incorporation of one consolidated round of review comments.

c) Final issue of the concept estimate.

FEE PROPOSAL

For the above outlined scope of services, we propose a lump sum fee of **$17,600** to be billed upon completion of each deliverable as outlined below:

1. Concept Level Estimate – Energy Conservation Measures – **$15,150** lump sum
2. Estimate Review & Final Issue – **$2,450** lump sum

Additional services beyond the scope above – including an on-site estimate presentation, additional revision cycles, milestone estimates as the design develops, or an updated estimate upon receipt of schematic design documents – can be provided at the hourly rates attached or as an agreed lump sum.

ASSUMPTIONS

The fee above is priced on the following assumptions, which will also form the basis of the estimate. Where the eventual scope differs, we will adjust accordingly:

1. **Design documentation.** The estimate will be prepared from the ECM scope narrative, one site walk, and gross-square-foot benchmarks; the FCA report and any available drawings will be made available at kickoff. *(Basis of fee: Concept (ROM) level estimate in Uniformat, allowance-based quantities on 100,000 GSF total)*

2. **Building areas and floor counts.** Building areas and floor counts will be confirmed at the site walk; quantities are pro-rated on 100,000 GSF total pending confirmation. *(Basis of fee: Per-floor quantities per the scope narrative, e.g. (6) perimeter fan coils per floor at 1 ton / 400 cfm)*

3. **Option pricing basis.** The base estimate carries Option 2 (conversion at each building), with Option 1 (central conversion with street crossing) priced at concept level and presented as a comparative cost delta. *(Basis of fee: One base estimate plus one option delta summary)*

4. **Street crossing (Option 1).** Street excavation, backfill, pavement restoration, and permitting for Option 1 are carried as an allowance assuming a single trench crossing; no utility relocations are assumed. *(Basis of fee: Single trench crossing allowance; utility test pits and investigations excluded)*

5. **Lighting upgrade extent.** The lighting and plug-load upgrade is priced on the per-floor fixture counts in the scope, applied to all floors not yet renovated to the 5th Floor standard; the floor count will be confirmed at the site walk. *(Basis of fee: Approximately (30) 2x2 LED and (16) 5-inch recessed LED fixtures per floor, plus occupancy-based receptacle controls)*

6. **Occupied operations and phasing.** Both buildings are assumed occupied during construction; an off-hours work premium is carried as a percentage allowance on trades working in occupied areas. *(Basis of fee: Percentage premium allowance on affected mechanical and electrical trades)*

7. **Hazardous materials.** An abatement allowance is carried as a separately identified line; hazardous materials survey and abatement design are excluded. *(Basis of fee: Identified abatement allowance only, quantity unverified)*

8. **Construction schedule and escalation.** The estimate is prepared in current-day dollars with escalation shown as a separately identified line to an assumed construction midpoint approximately 18 months from estimate issue. *(Basis of fee: Escalation percentage applied as an identified line on the estimate summary)*

9. **Review meeting format.** One estimate review meeting is included, held virtually; an on-site presentation can be provided as an additional service at the hourly rates herein. *(Basis of fee: One 2-hour virtual review meeting including preparation)*

10. **Revision cycles.** One consolidated round of review comments is incorporated in the final issue; further revisions or re-issues will be billed at the hourly rates herein. *(Basis of fee: One revision cycle included)*

11. **Wall insulation extent.** Wall insulation is priced on a per-floor unit basis for the same floors assumed for the lighting upgrade, as future-renovation scope. *(Basis of fee: 2-inch mineral wool at exterior walls including finish removal and replacement, per-floor unit basis)*

12. **Window quantities.** The window count will be estimated from facade observation at the site walk; the base carries double-pane IGU with the triple-pane unit priced as an add alternate. *(Basis of fee: Unit cost per window opening, count to be confirmed)*

EXCLUSIONS

The following items are not included in the lump sum fee referenced above:

1. Energy modeling, savings/payback analysis, and measurement & verification
2. Utility incentive / rebate application support
3. Life cycle cost analysis / OPEX costing
4. Value engineering beyond the Option 1 / Option 2 comparison described
5. Additional estimates or milestones beyond those listed
6. Hazardous materials survey and abatement design
7. Continuous cost management
8. Estimating lengthy or significant design revisions after receipt of documents and notice to proceed
9. Reimbursables (billed at cost with no markup, if incurred)

We look forward to working with you and the rest of the project team on this project. Should you have any questions or comments with regard to any aspect of the proposal, please do not hesitate to contact me.

Sincerely yours,

Accepted by: _____

[Name] Signature: _____

[Title], Cost Management

This proposal is subject to our standard Terms and Conditions (Exhibit A). Basis of fee reference: 8b8735440843

COST MANAGEMENT HOURLY RATES 2026

Vice President	$350 per hour
Senior Director	$300 per hour
Director	$250 per hour
Associate Director	$225 per hour
Senior Cost Manager	$190 per hour
Cost Manager	$150 per hour
Assistant Cost Manager / Estimating Technician	$110 per hour